

relevant. Collaboration among stakeholders, including data analysts, product managers, and executives, is often vital in determining the most appropriate CWT for each context.

In summary, CWT is a dynamic tool that allows organisations to structure their evaluations effectively, ensuring that the most critical areas are given the appropriate attention. Its flexibility and adaptability enable businesses to stay aligned with their ever-changing goals and strategies, helping them make informed decisions and drive success.

▪ **Category value (CV)**

The category value or CV represents the current measured value of a specific category. In the context of measuring software feature effectiveness, these categories are essential metrics used to assess how well a feature is performing. CV provides a snapshot of the feature's performance at a particular point in time. It serves as a key data point for evaluating and analysing the feature's effectiveness.

- **Category monthly value (CMV):** Category monthly value (CMV) is a critical metric calculated at the end of every month. It provides an in-depth and up-to-date assessment of a specific category's performance. For example, if we consider the category of daily active users (DAU), CMV for a specific month would represent the number of users actively engaging with the software daily during that month. CMV is calculated using data obtained from the system, making it a valuable indicator of the feature's current monthly performance.

CMV = Calculated value from the system

- **Category quarterly value (CQV):** Category quarterly value or CQV is an important metric that offers a broader perspective on a category's performance. It denotes the average value of the last three months and is calculated at the end of every quarter. To calculate CQV, you take the CMV values of the category from the past three months (e.g., DAU CMV for the last three months) and calculate their average. This quarterly metric helps smooth out monthly fluctuations and provides a more stable view of how the category is performing over a longer timeframe. For instance, if we're looking at the CQV for DAU, it would be the average of the DAU values for the past three months, offering a more comprehensive understanding of user engagement trends over a quarter.

$$CQV = \frac{(M1\ CMV + M2\ CMV + M3\ CMV)}{3}$$

- **Category change percentage (CCP):** This denotes a critical metric used to assess the change in the

effectiveness of a specific category over a defined and standardised period. It serves as an indicator of whether the performance of a category is improving or declining. A negative value of the change indicates a downward trend in performance, while a positive value represents an upward trend. This metric plays a pivotal role in tracking and understanding how well a feature is doing in terms of specific categories.

- **Category monthly change (CMC):** Category monthly change (CMC) is a fundamental metric calculated at the end of every month to determine the percentage change in the performance of a category compared to the previous month. It quantifies how much the effectiveness of the category has either improved or declined within a monthly time frame. CMC is computed by taking the difference between the current CMV and the CMV of the previous month (last CMV), dividing it by the last CMV and multiplying by 100 to express the change as a percentage. This allows for a precise assessment of monthly trends in the category's performance. For example, if you're monitoring the DAU category, CMC will help you understand whether the number of active users has increased or decreased compared to the previous month, and by how much.

$$CMC = \left(\frac{\text{Current CMV} - \text{Last CMV}}{\text{Last CMV}} \right) * 100$$

- **Category quarterly change (CQC):** This denotes a key metric calculated at the end of every quarter, offering insights into the percentage change in the performance of a category compared to the previous quarter. It provides a more comprehensive view of how the effectiveness of the category has evolved over a three-month period. Like CMC, CQC is computed by taking the difference between the current category quarterly value (CQV) and the CQV of the previous quarter (last CQV), dividing it by the last CQV and multiplying by 100 to express the change as a percentage. For instance, if you're analysing the category of CLV, CQC will help you assess whether the CLV has seen an improvement or decline over the past quarter, and by what percentage.

$$CQC = \left(\frac{\text{Current CQV} - \text{Last CQV}}{\text{Last CQV}} \right) * 100$$

For now I will conclude the article here. In the next part of this two-part series we will discuss the feature effectiveness indicator (FEI) at length and some examples. 

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